



Recommendation: **Buy**
Closing Price (2025/01/12): 50.2 SEK

Target Share Price: 64.2 SEK
Upside: +28.0%

Exchange: Small Cap Stockholm
Ticker Symbol: ARPL

Analysts: Pontus Pragert, Carl Røjvall & Ludvig Lindman Lindqvist



BAM



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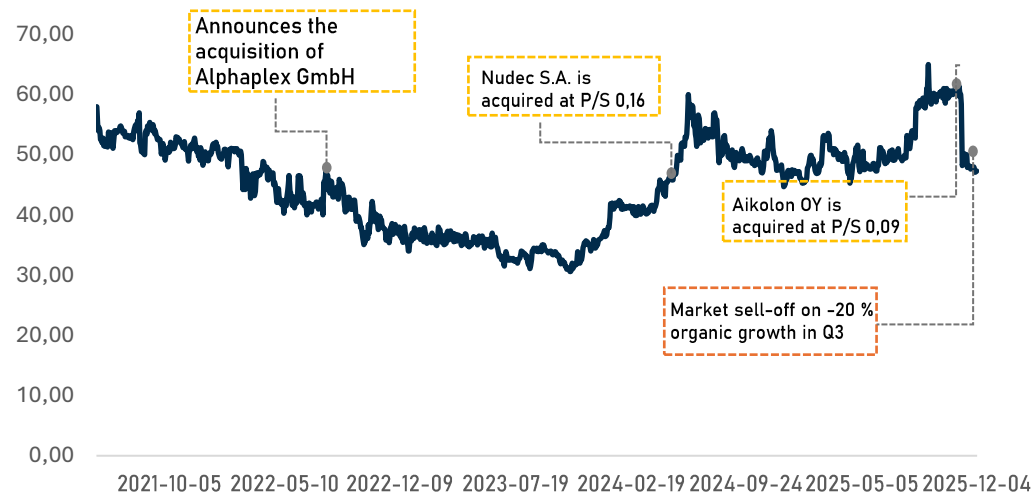
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Executive Summary

Share Price Action



Investment Thesis

1

Strategic Acquisitions at Attractive Multiples

Low-multiple acquisitions broaden geographical footprint, increase scale and lift margins through value-chain integration. Continued M&A strategy to **compound value** by reinvesting cash flows into new bolt on companies.



2

Structural EU Tailwinds Strengthen Competitive Position

EU regulation, renovation wave and defence spending create multi-year demand while simultaneously reducing competitive intensity. Arla Plast is positioned to capture **higher volumes at improving margins over time**.



3

Market Overreaction to Transitory Weakness

Share price drop motivated by weakened net sales and EBIT in Q3report. Current valuation implies no synergy realization, creating a **compelling entry point**.



Key Facts

- Arla Plast is a leading European manufacturer of extruded plastic sheets founded in 1969, headquartered in Borensberg, Sweden. with production in Sweden, Czech Republic as well as Spain and Finland following recent acquisitions.
- 1,000+ customers in 50+ countries. Serving customers in a variety of end-markets.
- Listed on Nasdaq Stockholm Small Cap since 2021.
- Strong balance sheet with net cash, providing financial flexibility to pursue continued low-multiple bolt on acquisitions.

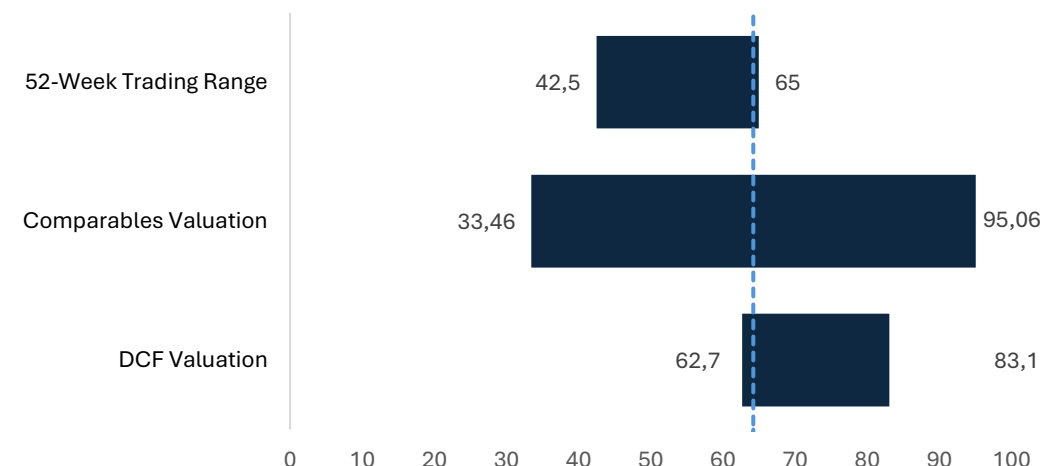
Financials

Share Price:	50,2 SEK
MCAP:	1053 MSEK
EV:	972 MSEK
EV/EBIT (LTM):	7,60 x
Net Debt/EBITDA:	-0,50 x
LTM ROCE:	15,40 %

Risks

- Raw material pricing pressure**
Falling granulate prices cause competitive pressure and compress premium margins.
- Integration risk in acquisitions**
Synergies materialize slower than expected.
- Cyclicality in end-markets**
Infrastructure & construction off-cycle.

Investment Thesis



Company Overview

About Arla Plast

Company Facts

- Arla Plast AB is a Swedish manufacturer of **extruded plastic sheets** with headquarters in Borensberg.
- The company serves over **1000** customers in more than **50** countries and has around **400** employees.
- Their financial targets include **5%** organic growth, an operating margin above **10%** and a net debt/EBITDA ratio under **2,5**.

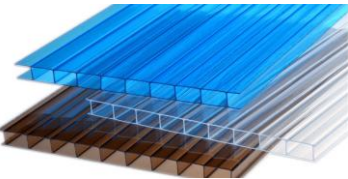


Key Events

- **1969:** Founded
- **2021:** IPO
- **2022:** Acquired Alphaplex
- **2024:** Acquired Nudec
- **2025:** Acquired Aikolon
- **2026:** New CFO

Revenue Breakdown By Product

PC



61% of Net sales, is divided into TPC, OPC and MWPC. These materials are used in applications such as glazing, noise barriers, pool enclosures and roofs for sports arenas.

PMMA



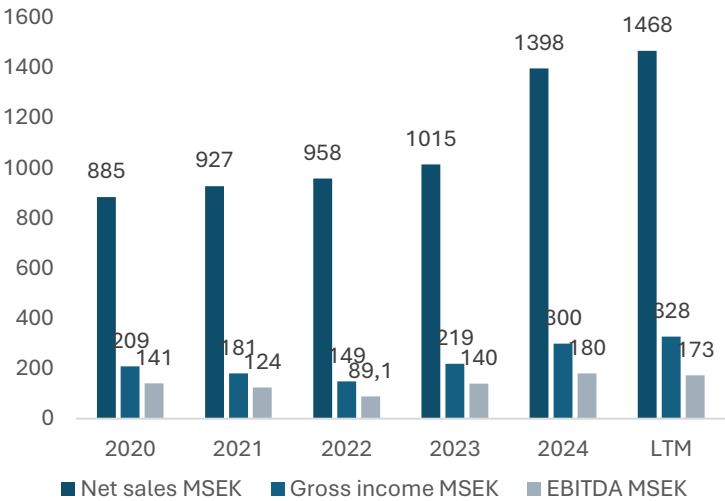
18% of Net sales, used in noise barriers and in products that require high optical quality, such as lighting fixtures and lamp covers.

PETG



16% of Net sales, used for thermo- and vacuum formed products which require intricacy and details, such as orthopaedic implants and food-grade plastics.

Income Overview



Financial Metrics

- Net Sales**
 - Last 5 Years CAGR: **9,6%**
- Gross Margin**
 - LTM: **22,3%**
 - Last 5 Years AVG: **20,3%**
- EBITDA Margin**
 - LTM: **11,8%**
 - Last 5 years CAGR: **13,1%**

Production Overview



- Production:**
 - Borensberg (Sweden)
 - Kadan (Czech Republic)
 - Pelhrimov (Czech Republic)
 - Barcelona (Spain)
 - Uleåborg (Finland)
 - Vanda (Finland)
- Distribution Central**
 - Hullhorst (Germany)

LTM Revenue

- Revenue LTM**
 - Sweden: **36,9 %**
 - Spain: **35,0 %**
 - Czech Republic: **21,5 %**
 - Germany: **6,6 %**

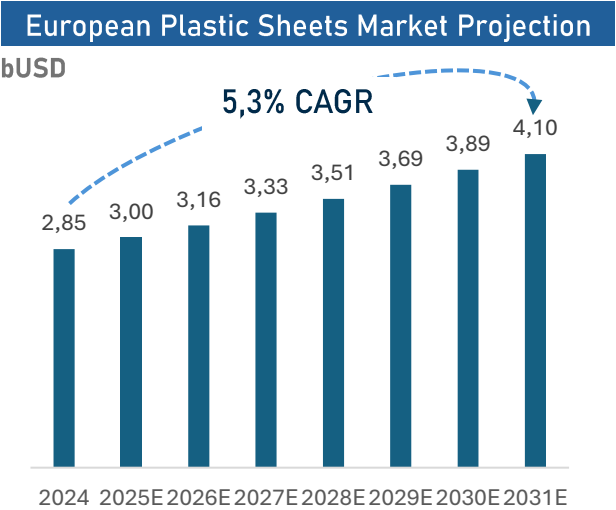


Market Overview

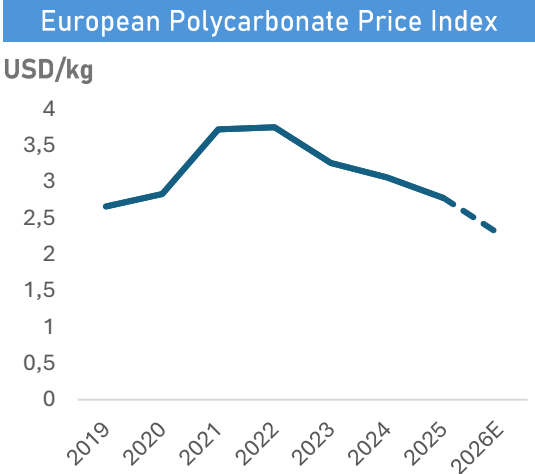
European Plastics: Market Trends & Drivers

European Plastic Films and Sheets Market

- The European Plastic Sheets Market is estimated at USD 2,85bn in 2024 and projected to reach USD 4,11bn by 2031, implying a **5,3% CAGR**.
- Growth is driven by increasing use of thermoformed plastic parts in packaging, healthcare, construction and automotive applications.
- Key market players include NUDEC and several regional sheet producers, positioning Arla Plast in a competitive but growing European niche.
- Arla Plast's 2024 net sales of SEK ~1,4bn correspond to a meaningful but still limited share of the European market, leaving room for further growth and consolidation.



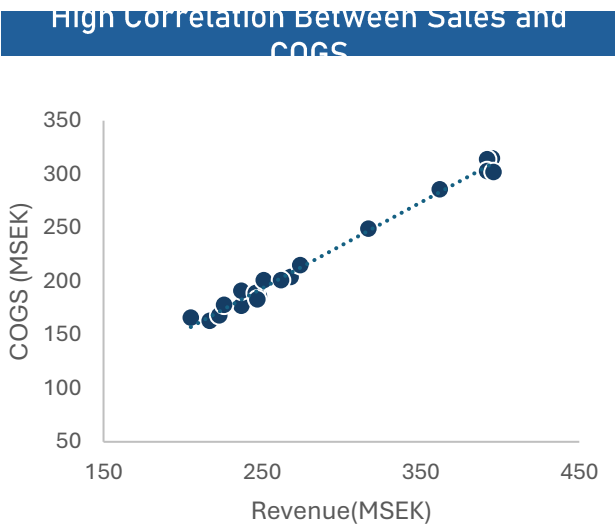
Raw Material Trends



- Raw material prices, which affect both net sales and gross profit, have shown a continued downward trend during 2024–2025 and are now below the comparison periods, with 2026 estimates indicating a further step down. This has increased price competition towards customers as the market seeks to keep utilisation of available capacity.
- Management notes that lower PC and other resin prices support Arla Plast's gross profit in absolute terms but also lead to increased customer price pressure and lower selling prices, making it more challenging to defend gross margins without mix upgrades and efficiency improvements.

Market Dynamic

- The graph visualizes Arla Plast's cost pass-through ability, as changes in granulate costs are rapidly passed through to customers via higher selling prices, which keeps gross margins broadly stable over time.
- The tight linear relationship between revenue and COGS in the chart underpins this dynamic, indicating that input-cost volatility is largely neutralized in the company's margins.



Macro Tailwinds

EU PPWR Regulation

- The EU PPWR Regulation mandates that all plastic packaging becomes reusable by 2030 - this significantly raises compliance costs and creates barriers for low-cost competitors.

European Defence Spending

- The European defence spending was up 19% year-over-year in 2024. NATO's 3.5% target by 2035 implies €630+ billion annually for defence, driving demand for protective glazing and shielding.

Renovation Wave

- The EU Renovation Wave targets 35 million buildings by 2030, which is €150 billion in investment. This drives demand for glazing, roofing, and noise barriers.

Sources: ResearchandMarkets, PlasticsEurope, Eurostat

Investment Thesis 1

Executing a Roll-Up Strategy in a Fragmented Market

Acquisitions



Alphaplex GmbH
Purchase Price: 43,2
Net Sales: 102,2
P/S: 0,41x
Date: 2022-07-26

Figures in MSEK



Nudec S.A.
Purchase price: 109
Net Sales: 670
P/S: 0,17x
Date: 2024-04-23

Figures in MSEK



Aikolon OY
Purchase price: 11
Net Sales: 120
P/S: 0,09x
Date: 2025-10-15

Figures in MSEK

2022

2023

2024

2025

Strategic Rationale

Alphaplex

- A strong foothold in Germany provides better access to customers in central, western and southern Europe.
- Taking control of sales organisation, warehousing, and strengthening and local post-processing strengthens Arla Plast's position in the value chain.

Nudec

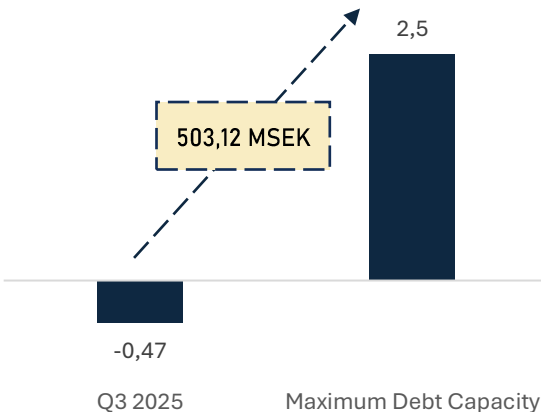
- Further geographic reach into southern Europe.
- Significant volume growth to the Group.
- Widening product offering with PMMA sheets.
- Increased competitiveness within the technical plastics segment and the region.

Aikolon

- Vertical integration into downstream processing. Gained control over coating, CNC machining and further processing of extruded plastic sheets.
- Enabling growth within segment of high optical products and glass-replacement solutions.

Strong Financials For Future M&A

- With net debt/EBITDA at approximately **-0,47x**, Arla Plast currently has a net cash balance and significant unused debt capacity.
- The board's financial framework allows net debt/EBITDA up to 2,5x, creating ample room to continue acquisitions similar to Alphaplex, Nudec and Aikolon without stretching the balance sheet.



2026

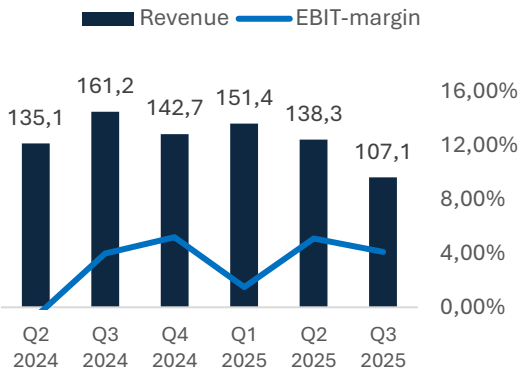
2027

2028

2029

Proven Ability To Increase Margins

- Arla Plast has demonstrated with the acquisition of Nudec their **ability to improve margins** increasing the possibility for further success.
- Margin improvement through acquisitions:** Nudec's EBIT margin rose from -2% to 4,1% after Arla Plast's takeover.



Investment Thesis 2

Structural EU Tailwinds Strengthen Competitive Position

EU PPWR Regulation

- PPWR and circularity rules favour certified, traceable and high-quality plastic sheets.
- Increased compliance requirements raise barriers for non-EU, low-cost competitors.
- PPWR compliance is expensive and time-consuming. Arla Plast is already certified which gives them a first-mover advantage.



European Defence Spending

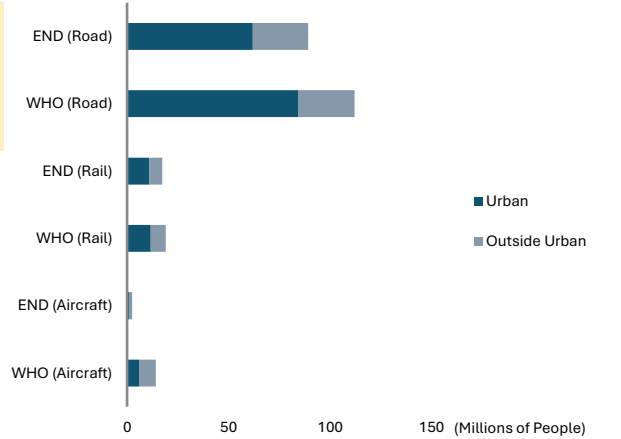
- Defence and security spending drives demand for protective and bullet-resistant glazing, an area where Arla Plast’s products are already being applied.
- Rail, road and infrastructure upgrades require plastic noise barriers.
- Arla Plast’s certified product range fits applications in military infrastructure.
- Long-term, stable investment flows support sustain volume growth.



Exposure to DENLT Noise Levels (2022)

“Road traffic is the most widespread source of transport noise, exposing an estimated 92 million people to levels above the END threshold of **55 dB** for the day-evening-night period.”
European Environment Agency, 2025

“The WHO recommended levels are significantly lower than END thresholds. A large number of individuals may be exposed to transport-related noise levels that can negatively impact health. Considering WHO thresholds, it is estimated that approximately **145 million people** (over 30% of the population) are exposed to unhealthy noise levels from transportation sources.”
World Health Organisation, 2025



Renovation Wave

- The Renovation Wave creates recurring, multi-year orders. But the right product portfolio and geographic reach is needed to capitalize – Arla Plast has both.
- EU aims to renovate 35 million buildings by 2030, doubling renovation rates.
- Strong demand for glazing sheets, roofing materials and noise barriers.

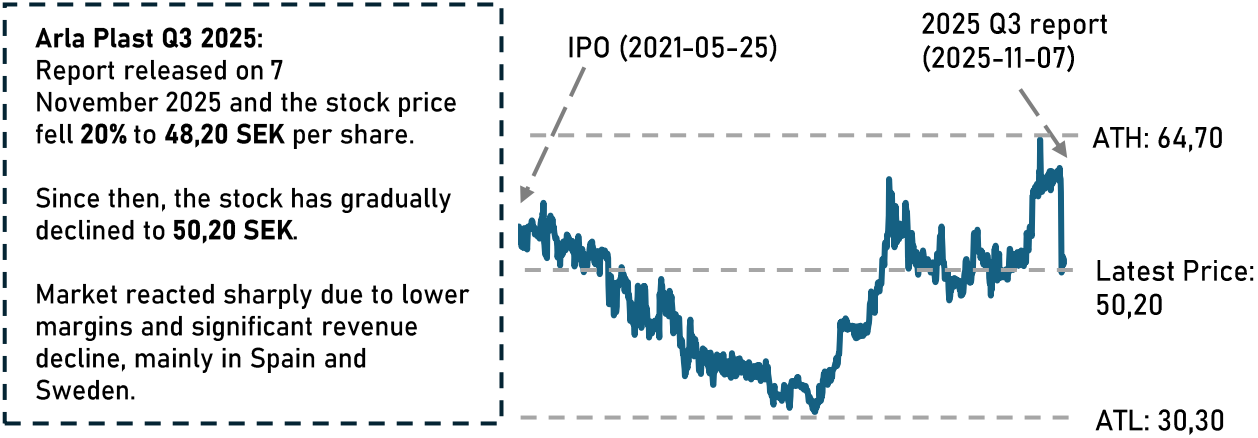


Sources: ResearchandMarkets, PlasticsEurope,

Investment Thesis 3

Market Overreaction to Transitory Weakness

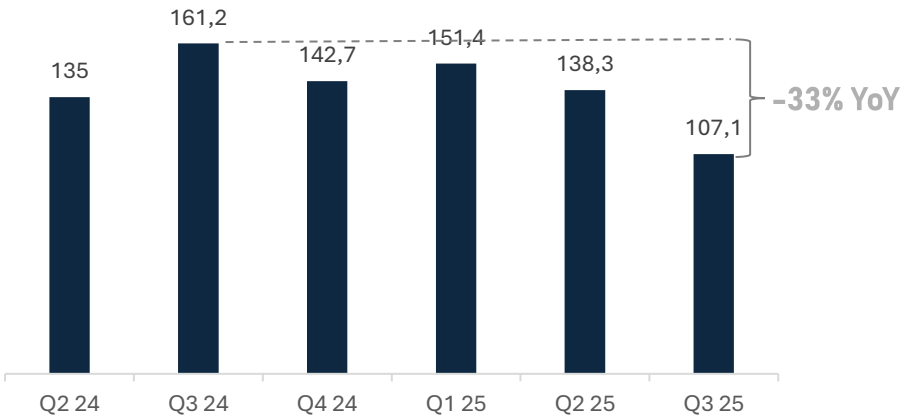
Share Price Development



Weakness Is Transitory, Not Structural

- Lower Volumes stem from deliberately exiting low-margin legacy contracts.
- Strategic repositioning improves long-term profitability and customer mix.
- Early-stage integration synergies from Nudec and Aikolon not yet reflected in financials.
- Easier comparables going forward.
- Insiders has acquired a significant amount of shares

Tough Comparables In Segment Spain



Insider Transactions

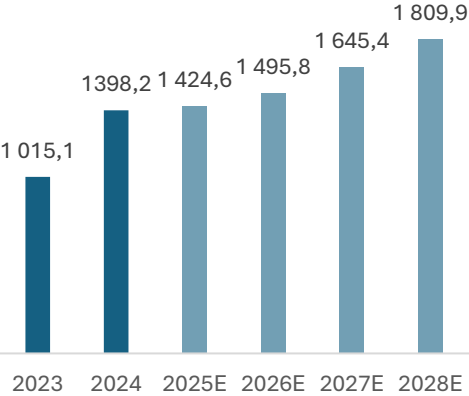
Owner	Position	Δ Shares	Price (SEK)	Value (SEK)	Date
Ulf Hedlund	Board Member	1000	47,5	47500	2025-12-01
Ulf Hedlund	Board Member	1000	47,2	47200	2025-12-01
Hahtonen Martti Juhani	Other	2000	48,6	97200	2025-11-13
Hahtonen Martti Juhani	Other	2000	49,3	98600	2025-11-13
Maria Grannas	Other	3000	48,3	144900	2025-11-13
Ulf Hedlund	Board Member	962	48,2	46368	2025-11-13
Ulf Hedlund	Board Member	38	47,7	1813	2025-11-13
Ulf Hedlund	Board Member	1000	47,7	47700	2025-11-10
Ulf Hedlund	Board Member	781	48,5	37879	2025-11-10
Ulf Hedlund	Board Member	8000	48,55	388400	2025-11-10
Ulf Hedlund	Board Member	219	45,8	10030	2025-11-10
Christian Krichau	CEO	1000	48,53	48530	2025-11-09
Mikael Friman	CFO	800	48,5	38800	2025-11-07
Total		21800		1054920	

Valuation

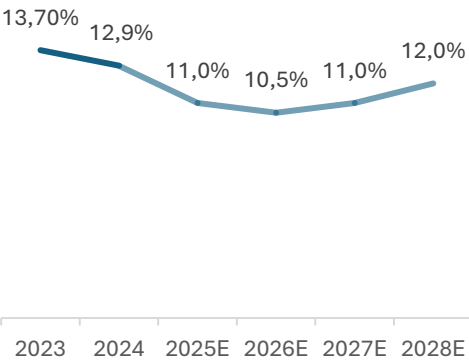
DCF- and Peer to Peer Analysis

DCF-Analysis

Sales Estimates (MSEK)



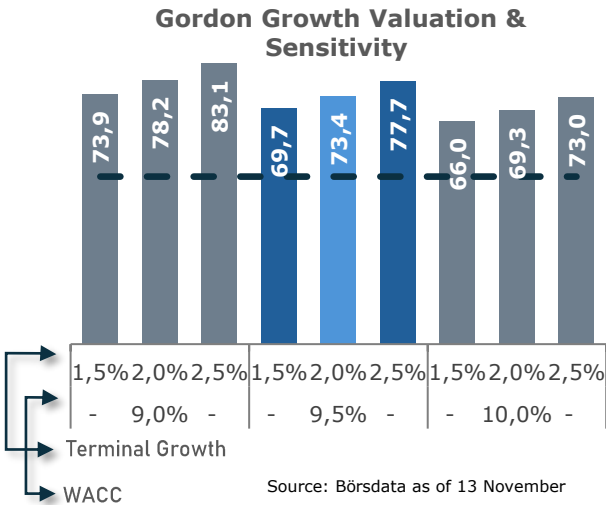
EBITDA Margin



Assumptions

- Estimated Sales CAGR: 6,3%
- Recovering EBITDA-margins
- CAPEX estimated at an avg. of 3% of sales
- D&A estimated at 4% of sales
- Terminal Growth Rate at 2%

DCF Price Target



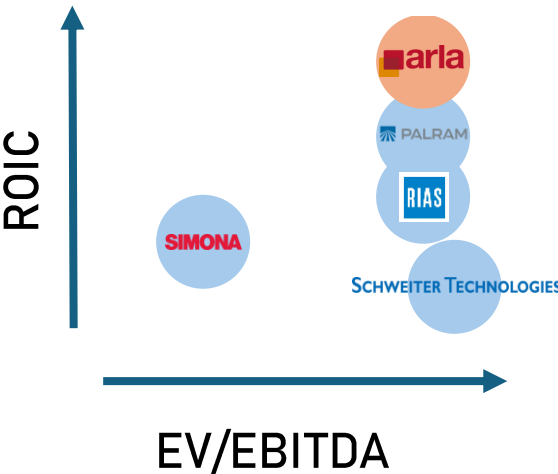
Peer to Peer Analysis

Company	Market Cap (MSEK)	EBIT-Margin	P/E (2025E)	EV/EBIT (2025E)
Palram Industries	5,268	16.30%	7.26	5.6
Rias A/S	194	5.80%	11.18	7.7
Schweiter AG	4,353	2.10%	17.92	11.74
Simona AG	3,331	6.40%	20.62	10.9
Median	3,842	6.13%	14.55	9.3
Arla Plast AB	971	7.90%	11.5	7.9

Conclusion

- The target price is based on a weighted combination of peer valuation (60%) and DCF (40%).
- Given the wide dispersion in trading multiples, the peer-based valuation is anchored to the medians of the implied values across the respective valuation methodologies (P/E and EV/EBIT), reducing the impact of outliers and resulting in a more robust and balanced comps outcome.
- The blended target price is 64,2 SEK/share, indicating an upside of 28% from latest closing price.

Attractive ROIC at Non-Premium Multiple



Risks

Raw Material & Pricing Pressure

- Plastic granule prices are passed through to customers; direct margin impact is limited.
- However, when granulate prices fall, Arla Plast's quality premium becomes larger share of buyer's total price.
- This increases competitive pressure from lower-cost producer and may compress realized margins.

Integration Risk in Recent Acquisitions

- Synergies from Nudac & Aikolon may be slower or smaller than expected.
- Repositioning of Nudac may take longer to translate into margin volumes.
- Risk that management underdelivers on integration roadmap, limiting EBIT uplift.

European Competitiveness & Energy Costs

- European share of global plastics reducing further.
- High electricity prices reduce competitiveness versus non-EU producers.
- Structural differences could limit long-term growth if not offset by differentiation

Cyclicality in End Markets

- Construction and industrial demand is cyclical and currently off-cycle.
- Our assumes relies on a multi-year normalization (3-5 years) supported by EU Renovation Wave, defence-related investments and regulatory drivers.
- Key risk: normalization takes longer than expected, or demand remains depressed beyond our investment horizon.



Mitigation

Leaving Low-Price Environments

- Focus on special grade (PMMA/PETG), where performance outweigh price sensitivity.
- Vertical integration (Aikolon) reduces pure price competition.
- Scale synergies lower unit cost, helping defend premium positioning.

Capturing Synergies Through Scalable Integration

- Clear operational synergy roadmap (procurement, logistics, vertical integration).
- Larger group scale strengthens management's ability to absorb new acquisitions.
- Cultural fit reduces integration friction.

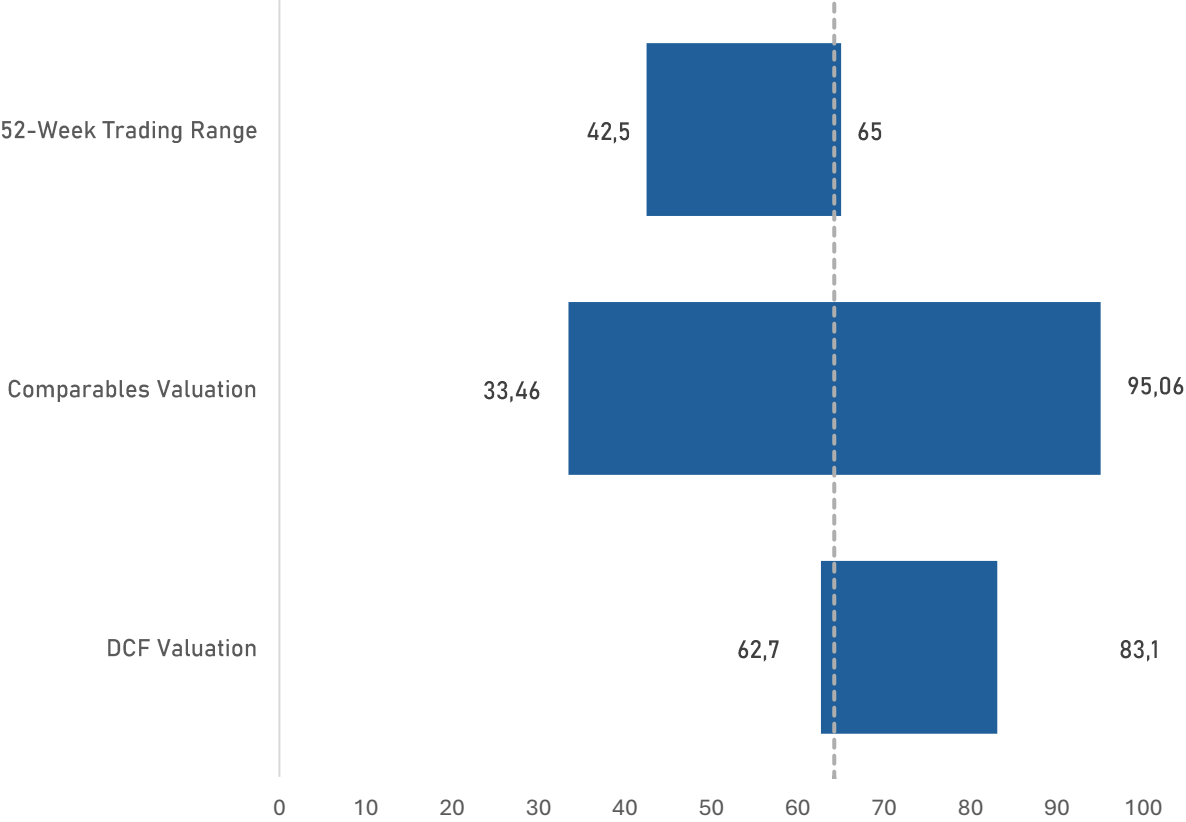
Leveraging EU footprint

- Multi-country production diversifies energy price exposure.
- Company is positioned as high-quality European producer – benefiting as low-quality non-EU competitors face regulatory barriers.
- Decreasing European supply can reduce competition in premium niches, strengthening Arla Plast's market position.

Positioned to Benefit from Cyclical Recovery and Structural EU Tailwinds

- Diversified customer base reduces reliance on cyclic end-markets.
- Investment horizon aligns with cyclical upswing and synergy realization.
- Exit achieved once volume recovers and acquisition synergies are realized.

Football Field Summary of Target Share Price



Investment Thesis

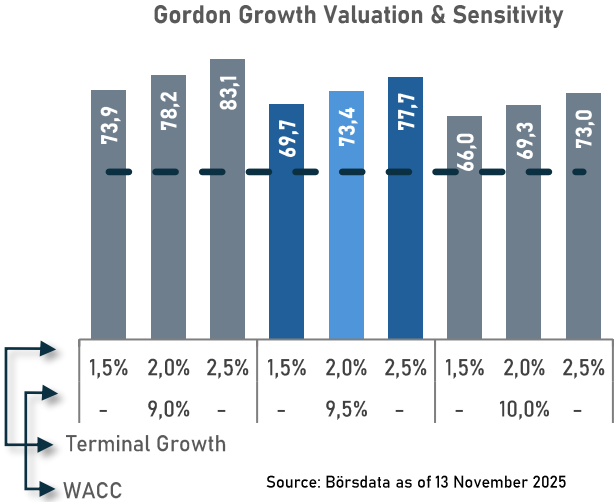
- 1

Strategic Acquisitions at Attractive Multiples
Low-multiple acquisitions broaden geographical footprint, increase scale and lift margins through value-chain integration. Continued M&A strategy to **compound value** by reinvesting cash flows into new bolt on companies.
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Structural EU Tailwinds Strengthen Competitive Position
EU regulation, renovation wave and defence spending create multi-year demand while simultaneously reducing competitive intensity. Arla Plast is positioned to capture **higher volumes at improving margins over time**.
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DCF Price Target



Peer Comparison

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Appendix

Appendix A

SEKm	Historical					Forecast									
	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E
Sales	884.7	927.5	957.8	1,015.1	1,398.0	1,424.6	1,495.8	1,645.4	1,809.9	1,900.4	2,090.4	2,236.8	2,348.6	2,466.0	2,342.7
COGS	675.6	747.0	809.0	795.8	1,098.5	1,106.5	1,161.8	1,278.0	1,405.8	1,476.1	1,623.7	1,737.4	1,824.2	1,915.5	1,819.7
Gross profit	209.0	180.5	148.7	219.3	299.5	318.1	334.0	367.4	404.1	424.3	466.7	499.4	524.4	550.6	523.1
OPEX															
EBITDA	141.1	124.4	89.1	139.5	180.4	156.7	157.1	181.0	217.2	266.1	836.2	917.1	962.9	1,035.7	984.0
D&A	-	-	-	-	-	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBIT	105.9	86.2	47.1	91.6	116.7	99.7	97.2	115.2	171.9	266.1	794.4	872.3	916.0	986.4	937.1
Sales growth	11.3%	4.8%	3.3%	6.0%	37.7%	1.9%	5.0%	10.0%	10.0%	5.0%	10.0%	7.0%	5.0%	5.0%	(5.0%)
Gross margin	23.6%	19.5%	15.5%	21.6%	21.4%	22.3%	22.3%	22.3%	22.3%	22.3%	22.3%	22.3%	22.3%	22.3%	22.3%
EBITDA margin	16.0%	13.4%	9.3%	13.7%	12.9%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%
EBIT margin	12.0%	9.3%	4.9%	9.0%	8.3%	7.0%	6.5%	7.0%	9.5%	14.0%	38.0%	39.0%	39.0%	40.0%	40.0%

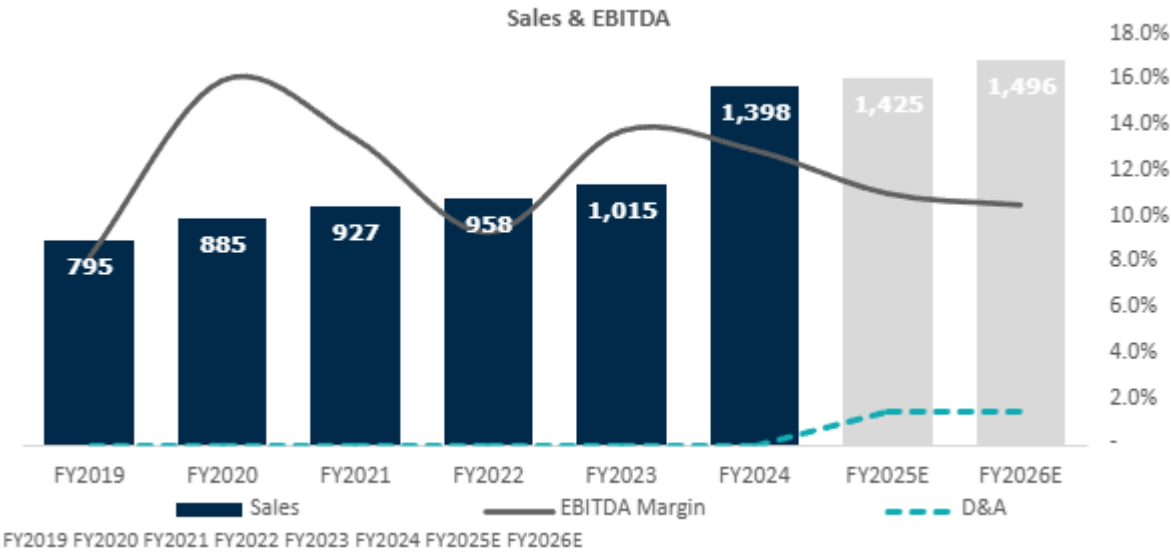
Appendix B

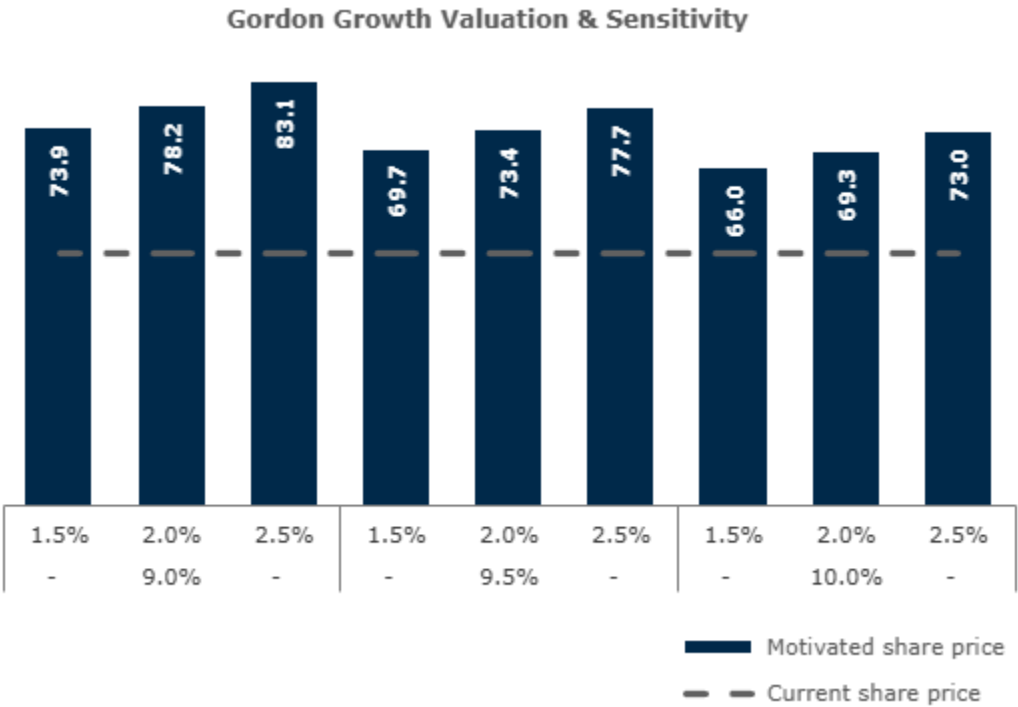
Item	Unit	Constant
Tax rate	%	20,6%
WACC	%	9.5%
Terminal growth	%	2.0%

Item	Unit	Constant
Unlevered beta	number	0.8
Debt / equity	%	9.9%
Applied Beta	number	0.9
Market risk premium	%	5.9%
Equity risk premium adjusted for valuation object	%	5.1%
Add: Risk-free rate	%	2.7%
Size premium	%	2.3%
Firm-specific risk premium	%	-
Cost of equity capital	%	10.1%
Base rate	%	2.7%
Credit risk premium (bps)	bps	195
Pre-tax cost of debt capital	%	4.6%
Tax rate	%	20,6%
Cost of debt capital	%	3.7%
% equity in capital structure	%	91.0%
% debt in capital structure	%	9.0%
Weighted Average Cost of Capital	%	9.5%

Appendix E

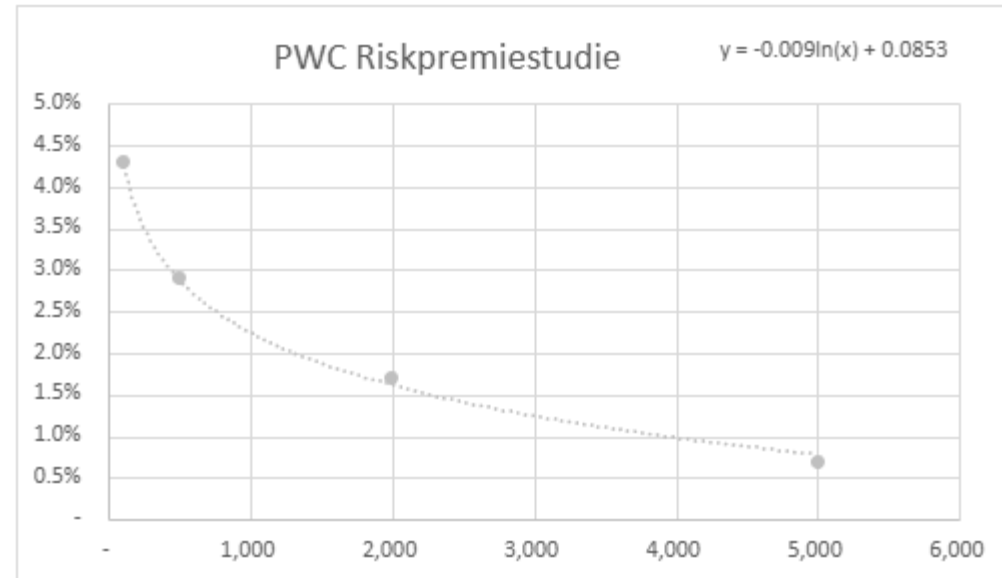
Item	Historical									Forecast									
	0	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E	FY2033E	FY2034E
Sales	742.1	809.1	796.1	794.6	884.7	927.5	957.8	1,015.1	1,398.0	1,424.6	1,495.8	1,645.4	1,809.9	1,900.4	2,090.4	2,236.8	2,348.6	2,466.0	2,342.7
Gross profit	188.2	179.6	105.4	159.8	209.0	180.5	148.7	219.3	299.5	318.1	334.0	367.4	404.1	424.3	466.7	499.4	524.4	550.6	523.1
EBITDA	97.0	85.4	15.6	65.1	141.1	124.4	89.1	139.5	180.4	156.7	157.1	181.0	217.2	266.1	836.2	917.1	962.9	1,035.7	984.0
EBITDA Margin	13.1%	10.6%	2.0%	8.2%	16.0%	13.4%	9.3%	13.7%	12.9%	11.0%	10.5%	11.0%	12.0%	14.0%	40.0%	41.0%	41.0%	42.0%	42.0%
D&A	-	-	-	-	-	-	-	-	-	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%





Appendix G

Company	P/E (2025E)	EPS (AP)	Implied Price (P/E)		EV/EBIT (2025E)	EBIT/share	Net Cash/share	Implied Price (EV/EBIT)				
Palram	7.26	4.61	33.4686		5.6	5.58	3.85	35.098				
Rias A/S	11.18	4.61	51.5398		7.7	5.58	3.85	46.816				
Schweiter	17.92	4.61	82.6112		11.74	5.58	3.85	69.3592				
Simona AG	20.62	4.61	95.0582		10.9	5.58	3.85	64.672				
Comparable Min	33.4686											
Comparable Max	95.0582											
Comparable Midpoint	64.2634											
P/E Midpoint	64.2634											
EV/EBIT Midpoint	52.2286											
Weighted Comparable Midpoint (70/30)	55.83904											
Weighted Comparable Midpoint (50/50)	58.246											
Median of all 8 implied prices	58.1059											
Chosen Method	Median											
	58.1059											
							Method		Min	Max	Width	Target Price
							52-Week Trading Range		42.5	65	22.5	64.22354
							Comparables Valuation		33.46	95.06	61.6	64.22354
							DCF Valuation		62.7	83.1	20.4	64.22354



Disclaimer & Account of Holdings

The analysis has been compiled using sources deemed reliable by Börsguppen Asset Management AB. Nevertheless, the accuracy of information from these sources can not be assured. Forward-looking projections provided in this analysis are founded on subjective future judgments. Börsguppen Asset Management AB does not ensure the realization of these forward-looking projections. Investors are advised to independently formulate their investment choices. This analysis is intended to serve as one of multiple tools for making investment decisions. All investors are urged to complement the data in this analysis with pertinent additional information. Neither Börsguppen Asset Management AB nor any of its members assume responsibility for any losses incurred due to the application of this analysis.

The analysts, Ludvig Lindman Lindqvist, Carl Röjvall and Pontus Pragert, do not own shares in the analyzed company at the time of publication of this analysis (2026-01-26). Börsguppen Asset Management AB does not own shares in the analyzed company at the time of publication of this analysis (2026-01-26).